

## 25STCV30618 25STCV30618

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NATURE OF PROCEEDINGS: Hearing on Motion to Enforce

Settlement

Plaintiffs' Motion to Enforce Settlement is granted.

### BACKGROUND

Plaintiffs Bryan Albright and Tracy Germain (collectively "Plaintiffs") filed this action against Mercedes-Benz USA, LLC, a Delaware limited liability company (MBUSA), asserting claims under the Song-Beverly Consumer Warranty Act (the Act) arising from an allegedly defective Mercedes-Benz vehicle. The merits of those claims are not before the Court on this motion.

On February 3, 2026, MBUSA accepted Plaintiffs' Offer to Compromise under Code of Civil Procedure section 998 (998 Offer), which resolved all claims. (Rotman Decl., ¶ 2, Ex. 1.) The 998 Offer required MBUSA to repurchase the vehicle and to pay \$85,000 in settlement funds. The parties stipulated that the Court would retain jurisdiction to enforce the settlement under Code of Civil Procedure section 664.6. (Rotman Decl., Ex. 1, ¶ 10.) Plaintiffs requested dismissal on that basis, and on March 24, 2026, the Court entered dismissal without prejudice and retained jurisdiction under section 664.6.

Under the 998 Offer, Plaintiffs were to provide MBUSA with the current registration and payoff information upon MBUSA's receipt of the executed offer, and Plaintiffs did so on February 3, 2026, the date of acceptance. (Rotman Decl., ¶ 3, Ex. 2.) Paragraph 5 of the 998 Offer required

MBUSA to pay the settlement funds, less any payoff paid directly to the lienholder, within thirty days, “[r]egardless of the surrender scheduling,” subject to an exception for delay caused by Plaintiffs or an agreement of counsel. (Rotman Decl., Ex. 1, ¶ 5.) Thirty days after February 3, 2026, was March 5, 2026. Paragraph 6 provided that, if MBUSA did not timely perform, it would pay interest at ten percent per annum on the settlement funds from the date of acceptance until Plaintiffs’ counsel received the funds. (Rotman Decl., ¶ 4, Ex. 1, ¶ 6.)

MBUSA did not pay the settlement funds by March 5, 2026. The vehicle was surrendered on March 26, 2026, and Plaintiffs’ counsel received the settlement funds on March 31, 2026. (Rotman Decl., ¶¶ 10-12.) Plaintiffs demanded interest of \$1,327.40, which MBUSA declined to pay, offering instead \$256.19. (Rotman Decl., ¶¶ 13-17, Ex. 4.)

Plaintiffs filed a Motion to Enforce Settlement. MBUSA filed an Opposition.

## LEGAL STANDARD

Code of Civil Procedure section 664.6 authorizes the Court, on noticed motion, to enter judgment pursuant to the terms of a settlement and to retain jurisdiction to enforce the settlement until performance in full. (Code Civ. Proc., § 664.6, subd. (a).) The statute provides a summary means of enforcing a settlement as written; it does not authorize the Court to create material terms the parties did not agree to or to rewrite the agreement the parties made. (Weddington Productions, Inc. v. Flick (1998) 60 Cal.App.4th 793, 810.) A settlement agreement is a contract and is interpreted under the rules governing contracts generally. (Ibid.) The Court ascertains and gives effect to the parties’ mutual intention as expressed in the writing, and the language governs if it is clear and explicit. (Civ. Code, §§ 1636, 1638.) The contract is read as a whole, with each part given effect so that none is rendered meaningless. (Civ. Code, § 1641.)

## ANALYSIS

### I. Jurisdiction to Enforce the Settlement

The parties stipulated in the 998 Offer that the Court would

retain jurisdiction under section 664.6 to enforce the settlement, and the Court retained that jurisdiction when it entered the dismissal Plaintiffs requested. (Rotman Decl., Ex. 1, ¶ 10.) The Court therefore has authority to enforce the settlement's terms.

## II. The Payment Deadline

The agreement set distinct timing obligations. Paragraph 3 required Plaintiffs to surrender the vehicle within thirty days after MBUSA's acceptance of the 998 and Plaintiff's production of payoff information, subject to delay caused by Plaintiffs. Paragraph 4 required MBUSA to overnight the settlement funds within three business days after surrender. Paragraph 5 then imposed a separate payment deadline: "[r]egardless of the surrender scheduling," MBUSA was to pay the settlement funds, less any payoff paid directly to the lienholder, within thirty days, subject to an exception for delay caused by Plaintiffs or an agreement of counsel. (Rotman Decl., Ex. 1, ¶ 5.) Plaintiffs provided the payoff information and current registration on February 3, 2026, the date of acceptance, which fixed the payment deadline at March 5, 2026, regardless of the status of the car surrender. (Rotman Decl., ¶ 3, Ex. 2.)

Paragraph 6 sets out the agreed consequence for late payment. If MBUSA did not timely perform, it agreed to pay interest at ten percent per annum on the settlement funds from the date of acceptance until Plaintiffs' counsel received the funds. (Rotman Decl., ¶ 4, Ex. 1, ¶ 6.) MBUSA did not pay by March 5, 2026, and Plaintiffs' counsel did not receive the funds until March 31, 2026. (Rotman Decl., ¶¶ 11-12.) On its face, the agreement states that the late payment triggered the interest term.

## III. MBUSA's Arguments

MBUSA raises several arguments, none of which alter this result.

First, MBUSA contends the thirty-day payment period could not begin before it received Plaintiffs' Form W-9 and preferred surrender location, which Plaintiffs did not provide until after business hours on February 12, 2026. (Opp. at pp. 5-6; White Decl., ¶¶ 6-8.) Paragraph 5 forecloses that argument. By its terms, payment was due "regardless of the surrender scheduling." The surrender location bears on surrender logistics, and the Form W-9 bears on the mechanics of issuing the check, not on the existence or amount

of the payment obligation. Construing the payment period to await those items would nullify the “regardless of the surrender scheduling” language. In any event, MBUSA had both items by February 12 or 13, more than three weeks before the March 5 deadline, and does not explain why they prevented payment by that date.

Second, MBUSA invokes the agreement’s exception for delay caused by Plaintiffs and the prevention doctrine, arguing that Plaintiffs’ late production excuses MBUSA’s late payment. (Opp. at pp. 5-8.) Both the contractual exception and the prevention doctrine require a causal link between Plaintiffs’ conduct and the delay in performance. (Civ. Code, § 1511, subd. (1).) That link is absent. MBUSA’s own evidence shows it paid late because it treated payment as following surrender. The vehicle was surrendered on March 26, 2026, and MBUSA sent the check three business days later, on March 30, 2026. (White Decl., ¶ 11.) Because Paragraph 5 decoupled the payment deadline from surrender scheduling, it was MBUSA’s decision to pay only after surrender, and not Plaintiffs’ February 12 production of routine documents, that caused the funds to arrive on March 31 rather than by March 5.

Third, MBUSA argues that time was not of the essence and that no statutory interest is available under Civil Code section 3287 or Code of Civil Procedure section 685.010. (Opp. at p. 7.) These arguments do not fit the relief sought. A delay in performance is a material failure of consideration only if time is of the essence, that is, if prompt performance is, by the express language of the contract or by its very nature, a vital matter. (Johnson v. Alexander (1976) 63 Cal.App.3d 806, 813.) Materiality would bear only on a claim to rescind or abandon the settlement; in contrast, a breach that can be compensated in damages does not permit rescission. (Integrated, Inc. v. Alec Fergusson Electrical Contractor (1967) 250 Cal.App.2d 287, 295-296) Plaintiffs do not seek to rescind the settlement for late performance, so the time-is-of-the-essence doctrine is inapposite. Nor do Plaintiffs seek statutory prejudgment interest on an unliquidated claim. They seek the interest the parties bargained for in Paragraph 6 as the agreed consequence of late payment. The certainty requirement of section 3287 and the money-judgment requirement of section 685.010 govern statutory interest, not a contractual interest term.

Fourth, MBUSA points to a February 2, 2026, email in which Plaintiffs’ counsel stated that, although she had written thirty days into the offer, she could make the previously discussed sixty-day period work if MBUSA

needed it. (Opp. at pp. 2, 8; White Decl., ¶ 5, Ex. B.) That email was a conditional offer to revise the writing, not an agreement to do so. MBUSA chose to accept the offer as written, with its thirty-day term, rather than request the sixty-day revision. (White Decl., ¶¶ 5-6.) The accepted writing controls, and the only contractual avenue for extending the deadline, an agreement of counsel, did not occur. (Rotman Decl., Ex. 1, ¶ 5.) To the extent MBUSA contends the term is ambiguous and should be construed against Plaintiffs as the drafter, that rule applies only when an ambiguity remains after the ordinary rules of interpretation, and no ambiguity remains here. (Civ. Code, § 1654.)

Finally, MBUSA argues the motion was unnecessary and contrary to the civility guidelines because MBUSA performed and proposed a compromise. (Opp. at pp. 9-10.) Performance of the principal obligations does not extinguish the separately bargained-for interest term, and MBUSA's refusal to pay an amount owed is what made the motion necessary. The civility guidelines do not supply a defense to an otherwise enforceable term.

#### IV. Amount of Interest

Plaintiffs calculated interest of \$1,327.40 using fifty-seven days from February 3, 2026, to March 31, 2026, at a daily rate of \$23.29. (Rotman Decl., ¶ 13.) MBUSA correctly observes that the period from February 3 to March 31 is fifty-six days, not fifty-seven. (Opp. at p. 8:26-27.) Applying the agreement's ten percent per annum rate to the \$85,000 settlement for fifty-six days yields \$1,304.11 (\$85,000 multiplied by 0.10, multiplied by 56, divided by 365). The Court awards interest in that amount.

#### CONCLUSION

Plaintiffs' Motion to Enforce Settlement is granted. The Court orders MBUSA to pay Plaintiffs interest of \$1,304.11 within fourteen days of this order.